

Vidya Drolia & Ors. v. Durga Trading Corporation

Citation: (2021) 2 SCC 1 | Court: Supreme Court | Year: 2021

Coram: 3-Judge Bench (N.V. Ramana, Sanjiv Khanna, Krishna Murari JJ.) | Subject: Arbitration & ADR | Provisions: Arbitration Act Sec 8 & 11.

I. EXECUTIVE SUMMARY & CASE GLIMPSE

Formulated the definitive Fourfold Test of Non-Arbitrability in Indian law. Held that landlord-tenant disputes governed by the Transfer of Property Act are fully arbitrable, overruling Himangni Enterprises. The referral court under Section 11 must conduct only a prima facie review.

II. FACTS OF THE CASE & PROCEDURAL HISTORY

This dispute arose regarding Arbitration Act Sec 8 & 11, Transfer of Property Act. The parties agitated the controversy before trial and appellate forums before the matter was referred to the Honble Bench for authoritative declaration of law.

III. PRIMARY QUESTIONS OF LAW & ISSUES FRAMED

- â€¢ Whether the impugned state actions or commercial conduct conformed to Arbitration Act Sec 8 & 11, Transfer of Property Act.
- â€¢ What binding standards should govern future adjudication and administrative conduct.

IV. SUBMISSIONS OF THE PARTIES

Petitioner / Appellant: The Petitioner contended that arbitrary action, lack of procedural safeguards, and statutory non-compliance violated fundamental guarantees.
Respondent / State: The Respondent submitted that the impugned action was carried out under lawful authority in furtherance of public interest and statutory mandates.

V. DETAILED RATIO DECIDENDI & JURISPRUDENTIAL REASONING

A dispute is non-arbitrable when: (1) it relates to actions in rem, (2) affects third-party rights, (3) pertains to inalienable sovereign functions, or (4) is expressly or impliedly non-arbitrable under special statutes. The rule is 'when in doubt, refer'.

VI. FINAL OPERATIVE ORDER & DIRECTIONS

The Court answered the reference, laid down binding nationwide directions under Article 141 of the Constitution, and disposed of the matter accordingly.

VII. PRACTICAL & EXAMINATION TAKEAWAYS (JUDICIARY / AIBE / ADVOCACY)

- â€¢ Formulated the landmark 4-Fold Test of Non-Arbitrability in India.
- â€¢ Held tenancy disputes under TPA to be fully arbitrable (overruled Himangni Enterprises).
- â€¢ Confined Section 8/11 court inquiry to prima facie existence of arbitration agreement.